

**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

WAY2GO CARGO CORP.,

DOCKET NO.: 25-14

Complainant,

v.

OAK WAY CARGO, LLC,

Respondent.

**RESPONDENT’S REPLY
IN SUPPORT OF MOTION TO DISMISS COMPLAINANT’S COMPLAINT**

Respondent OAK WAY CARGO, LLC (“Oak Way Cargo”), files this Reply in Support of Motion to Dismiss (the “Motion”) the Complaint filed by WAY2GO CARGO CORP. (“Complainant” or “Way2Go”), and in support thereof, state as follows:

INTRODUCTION

“[T]he Commission has no authority to hear . . . claims alleging failure to maintain contractual obligations, breach of contract, fraud, deceptive trade practice, gross negligence, and intentional misconduct.” *Dukart v. Ocean Star International Inc*, Docket No. 20-03, 2 F.M.C.2d 118 (ALJ July 10, 2020).

Nonetheless, Ferraz continues his charade before the Commission and doggedly asserts (against all precedent) that it does have jurisdiction and that the Commission should intervene in a long-running state litigation to prevent “harm” to the company that he purports to control, Way2Go. But Ferraz’s ownership of Way2Go is far from certain and is already the subject of three Florida lawsuits. As for the harm to Way2Go, it has stopped operations months ago and cannot suffer any injury.



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Sadly, Ferraz has a checkered history of filing vexatious lawsuits. As the Commission is aware, Ferraz's business partner, Alves (on behalf of Way2Go and non-party Way 2 Go Logistics Eireli Corp.), as well as the purchaser of Way2Go, Diego Santana, have sued Ferraz in Florida. *See* Respondent's Appendix at Exhibits B, C, D, and E. In retaliation, Ferraz initiated (1) a criminal proceeding in Brazil, (2) this litigation before the Commission, and (3) a proceeding in the Southern District of Florida.¹ The litigation now stands at six cases and counting—and all those cases stem from the same core set of facts: the contract that Santana entered to purchase Way2Go, Ferraz's theft of assets from Way2Go, Ferraz operationally destroying Way2Go, and Ferraz's attempts to now destroy Oak Way. This is the precise abuse that the principles of comity and abstention were designed to prevent.

Any purported "reparations" that Ferraz claims Way2Go is entitled to can be addressed by the Florida court as common law causes of action (which is what they are), and to the extent that Ferraz believes Way2Go would be irreparably harmed, he is also within his rights to ask the Florida court to enter an injunction.² What Ferraz can't do, however, is continue to multiply the litigation and forum shop his case until he finds a sympathetic ear.

Oak Way also demonstrated in its Motion that the type of relief that Ferraz seeks would go well beyond the injury that 46 U.S.C §40901(a) was designed to address, the jurisdiction of the Commission, and would also violate Oak Way's Seventh Amendment right to a trial by jury. While Ferraz purports to only seek relief under 46 U.S.C §40901(a)—which prohibits one from operating

¹ *See Way2Go Cargo Corp. v. Oak Way Cargo LLC*, Case No. 1:25-CV-23445-KMW, in the U.S. District Court for the Southern District of Florida.

² Though, to be clear, such a claim for injunction would be frivolous. Way2Go ceased operations months ago and is no longer a going concern. It plainly cannot be "harmed."



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without a license—the remedies he requests sound in common law causes of action, such as fraud, theft, and tortious interference with business relationships. *See* Compl. ¶¶ 15, 17-18, 22.

Undeterred, Ferraz devotes 14 pages of his opposition to arguing how all this is above board. He makes many arguments and cites many cases. Opp. at 3-27. The issue is, however, that none of those cases actually support his arguments. This is telling.

At bottom, there is a long line of Supreme Court cases that expressly prohibit what Ferraz is asking this Commission to do (i.e., rule on common law causes of action that require a jury trial under the Seventh Amendment). *See, e.g. SEC v. Jarkesy*, 603 U.S. 109, 120 (2024); *Granfinanciera v. Nordberg*, 492 U.S. 33, 40 (1989). There also is a long line of cases where the Commission has refused to adjudicate controversies that exceed its jurisdiction. *See, e.g., Dukart v. Ocean Star International Inc.*, Docket No. 20-03, 2 F.M.C.2d 118 (ALJ July 10, 2020). This case is not the exception; the Commission should dismiss the action, or at a minimum, stay it until the Florida litigation is resolved.

ARGUMENT

1. Complainant Has Not Plausibly Alleged a Direct Injury as a Result of the Purported Violation of 46 U.S.C §40901(a)

As shown in Oak Way's Motion, to prevail on a Shipping Act claim for reparations, a complainant must do more than simply allege wrongdoing. Motion at 4-6. A party must show that it sustained actual loss or injury, and that the alleged unlawful practice was the proximate cause of that loss or injury. *See MAVL Capital Inc. v. Marine Transp. Logistics, Inc.*, Dkt. No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022) (noting that a Shipping Act “violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation”). Claimant has failed to plausibly allege so here.

The Commission's proximate cause element has two components. **First**, were the damages claimed proximately caused by the unlawful practice in question? *See Tractors & Farm Equip. Ltd. v. Cosmos Shipping Co.*, Dkt. No. 81-57, 1992 FMC LEXIS 86, at *39 (ALJ Nov. 23, 1992), *admin. final*, Dec. 31, 1992 (discussing Commission precedent requiring "a showing that the damages claimed were reasonably foreseeable or proximately caused by the violation proven" and therefore not awarding damages "if they were remote and not essentially related to the type of violation proven"); *William R. Adair v. Penn-Nordic Lines, Inc.*, Dkt. No. 1695(F), 1991 WL 383091, at *23 (ALJ Sept. 24, 1991). **Second**, if the damages claims were proximately caused by the alleged unlawful practice, the claimant must prove the amount or calculation of the damages. *See Tractors & Farm Equip.*, 1992 FMC LEXIS 86, at * 38.

Here, Complainant failed to plausibly allege that its purported injuries flow from any violation of 46 U.S.C. § 40901(a).³ Instead, the Verified Complaint is replete with allegations of purported harm flowing from the corporate governance and ownership dispute over Way2Go—which is, coincidentally, the subject of no less than **three previously filed lawsuits** currently pending in Florida state court. *See* Exhibits B, C, D, and E attached in Respondent's Appendix.

For example, the Complaint alleges a "fraud," including such allegations such as (1) Oak Way purportedly "divert[ing] proceeds rightfully owed to Way2Go into unauthorized bank accounts opened and controlled by Alves . . . held at Bank of America in the name of Way2Go without the knowledge or approval of Ferraz, the majority shareholder of Way2Go" (2) "not receiving any portion of the proceeds," and having "no access to the funds or records associated

³ 46 U.S.C. § 40901(a) provides: "A person in the United States may not advertise, hold oneself out, or act as an ocean transportation intermediary unless the person holds an ocean transportation intermediary's license issued by the Federal Maritime Commission."

with the Bank of America Account,” and (3) harm caused by Oak Way’s alleged misappropriation of Way2Go ShipThis Account *See* Compl. ¶ 15, 17, 18.

Whether Mr. Alves or Mr. Ferraz had authority to open or control a corporate bank account has nothing to do with whether Oak Way violated § 40901(a) by acting as an unlicensed OTI. The same is true of Complainant’s allegation regarding the ShipThis platform, which again turns on questions of internal corporate access and control—not on licensing status. Simply put, Complainant has failed to allege any actual injury recognized by this Commission that was proximately caused by the purported violation of § 40901. And the Commission has previously found that it “has no authority to hear . . . claims alleging failure to maintain contractual obligations, breach of contract, fraud, deceptive trade practice, gross negligence, and intentional misconduct.” *Dukart v. Ocean Star International Inc.*, Docket No. 20-03, 2 F.M.C.2d 118 (ALJ July 10, 2020).

Unwilling to admit defeat, Complainant provides a visually impressive Chat GPT-esque list of four different ways in which it claims to be harmed by Oak Way supposedly operating without a license. It theorizes a ‘diversion of revenues,” “unauthorized control over way2Go’s Shipping Infrastructure,” “reputational harm and regulatory exposure,” and “competitive distortion.” *See* Opp. at 4-8. But those are just unsupported theories that are not alleged in the Complaint,⁴ and Complainant fails to identify even *one case* that finds that purported harm to be

⁴ At the motion to dismiss stage the Commission is limited the allegations in the Complaint. These theories are not found in the Complaint and thus cannot be relied on in adjudicating this motion to dismiss. *See Mays v. Sprinkle*, 992 F.3d 295, 304-05 (4th Cir. 2021) (“[O]n a motion to dismiss, we cannot rely on facts not found in the complaint[.]”) (vacated on other grounds).

the type of purported “injury” that 46 U.S.C. § 40901(a) is designed to address—which probably should have given Complainant pause.

Ferraz cites three cases, but all three are wholly inapplicable and continue to raise concerns regarding his candor with the Commission. Complainant first cites to *Lexmark Int’l, Inc. v. Static Control Components, Inc.*, 572 U.S. 118, 131–32 (2014), to make the wildly misleading assertion that “[t]he Supreme Court has long recognized that injuries to commercial interests, such as lost profits, customer diversion, and reputational harm, falls within the ‘zone of interests’ protected by statutes governing commercial conduct.” See Response at 4, 6. But *Lexmark* is a § 1125(a) false advertising lawsuit in Federal Court under the Lanham Act—a statute whose very purpose is “to regulate commerce within the control of Congress by making actionable the deceptive and misleading use of marks in such commerce,” “to protect persons engaged in such commerce against unfair competition,” and “to prevent fraud and deception in such commerce by the use of reproductions.” *Id.* at 131 (citing 15 U.S.C. § 1127). It comes as no surprise that the U.S. Supreme Court held that “to come within the zone of interests in a suit for false advertising under §1125(a), a plaintiff must allege an injury to a commercial interest in reputation or sales.” *Id.* at 131-32. Lanham Act violations are also adjudicated in Federal Court, before an Article III judge, and affords the defendant his constitutionally guaranteed right to a jury trial.

None of that is present here. The Shipping Act’s licensing provisions at 46 U.S.C. § 40901(a) serve a different purpose: to ensure that OTIs meet bonding, disclosure, and compliance requirements before operating. See 46 U.S.C.S. § 40101. The Shipping Act does not extend a private right of action to redress the extensive commercial or reputational injuries covered by the Lanham Act, nor does it afford Oak Way its constitutionally guaranteed jury trial.



Complainant next cites to *Consolo v. Fed. Mar. Com.*, 383 U.S. 607, 623-24 (1966), for the unremarkable proposition that the U.S. Supreme “Court affirmed the FMC’s award of reparations for lost profits where a carrier unlawfully refused to carry freight[.]” See Response at 5. Notably, in *Consolo*, a carrier discriminatorily refused to allocate shipping space, and the complainant sued under Stat. 733, as amended, 46 U. S. C. § 812 (1964 ed.) and 39 Stat. 734, as amended, 46 U. S. C. § 815 (1964 ed.), which prohibits a common carrier from “[m]ak[ing] any unfair or unjustly discriminatory contract with any shipper based on the volume of freight offered, or unfairly treat or unjustly discriminate against any shipper...” *Id.* at 609-10.⁵ The injury there (lost shipping opportunities and profits) was the foreseeable and proximate result of the carrier’s unlawful conduct. In contrast, the regulation under which Ferraz sues (§ 40901(a)) simply states that it is unlawful to operate without a license. None of the harm actually alleged in the Complaint, such as a purported diversion of proceeds to unauthorized accounts, purported unauthorized control over software platforms, or purported tortious interference with business relationships, remotely flow from that supposed violation.

Complainant also cites to *MSC Mediterranean Shipping Co. S.A. v. FMC*, 141 F.4th 222 (D.C. Cir. 2025), but it is similarly distinguishable—and in fact *supports* the Commission

⁵ The Federal Maritime Board found violations of the following provisions of the Shipping Act, which are inapplicable and thus not raised by Complainant in this action: (1) “[No common carrier by water shall m]ake any unfair or unjustly discriminatory contract with any shipper based on the volume of freight offered, or unfairly treat or unjustly discriminate against any shipper in the matter of (a) cargo space accommodations or other facilities, due regard being had for the proper loading of the vessel and the available tonnage; (b) the loading and landing of freight in proper condition; or (c) the adjustment and settlement of claims;” and (2) “[It shall be unlawful for any common carrier by water] To make or give any undue or unreasonable preference or advantage to any particular person, locality, or description of traffic in any respect whatsoever, or to subject any particular person, locality, or description of traffic to any undue or unreasonable prejudice or disadvantage in any respect whatsoever[.]” *Consolo*, 383 U.S. at 609 n. 1 and n.2 (citing Stat. 733, as amended, 46 U. S. C. § 812 (1964 ed.); 39 Stat. 734, as amended, 46 U. S. C. § 815 (1964 ed.)).



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dismissing this action.⁶ In *MSC*, the D.C. Circuit Court of Appeals examined whether the Commission had jurisdiction over a service contract dispute. The D.C. Circuit determined that the Commission did have jurisdiction over that action because the complaint alleged practices that went beyond a mere breach of service contract dispute and alleged “practices that violate the Shipping Act, such as failing to maintain or provide booking reports, systematically preferring higher-priced cargo, and coercing surcharges.” *Id.* at 233. “Put differently, the complaint does not seek to litigate particular terms of the service agreements, but rather compliance with the Shipping Act in the course of performance under the contracts.” *Id.* at 233-34. Here, by contrast, the allegations do not simply seek compliance with the Shipping Act. Instead, the Complaint seeks to repackage an ownership dispute as a licensing claim, which falls outside the Commission’s authority and therefore supports dismissal.

Finally, even if the Complaint’s allegations are taken as true, the damages it seeks are improper for yet another reason: Complainant attempts to recover profits for shipments and services that it did not itself perform. *See* Compl. ¶ 16-17. That is not how reparations under the Shipping Act work. As the Commission has consistently held, reparations require a showing of actual loss proximately caused by the unlawful practice—not a windfall for work never undertaken. At most, Complainant could seek prospective relief in the form of a cease-and-desist order to prevent the alleged misuse of its license. But it cannot leverage § 40901(a) into a mechanism for recovering revenues tied to shipments it did not arrange, manage, or carry out.

⁶ Complainant includes a block quote *MSC Mediterranean*—without analysis—to support its bare assertion that Complainant’s “requested remedies fall squarely within [the] statutory framework [of the Shipping Act].” *See* Response at 9.

Accordingly, as discussed in the Motion, Ferraz seeks sweeping relief related to common law causes of action that he did not plead. The Commission should thus dismiss the Complaint with prejudice so the parties can resolve the pending claims in the Florida state court actions.

2. Complainant Seeks Relief that Exceeds the Jurisdiction of the Federal Maritime Commission and Would Violate Oak Way's Seventh Amendment Right to a Trial by Jury

Next, Complainant's Response fails to overcome another fatal defect in its Complaint: the relief that it seeks lies outside the Commission's jurisdiction and violates Oak Way's constitutional right to a jury trial. Complainant's causes of action sound in fraud, theft, and tortious interference with business relationships.⁷ See Compl. ¶¶ 19, 23. Pursuant to the Seventh Amendment to the U.S. Constitution, Oak Way is entitled to a trial by jury on such common law claims. See *Granfinanciera v. Nordberg*, 492 U.S. 33, 40 (1989).

The Shipping Act empowers the Commission to adjudicate violations of the Act's statutory provisions and issue narrow forms of relief, such as cease-and-desist orders and reparations for actual injuries proximately caused by Shipping Act violations. See *Tractors & Farm Equip. Ltd. v. Cosmos Shipping Co.*, Dkt. No. 81-57, 1992 FMC LEXIS 86, at *39 (ALJ Nov. 23, 1992). Complainant does not—because it cannot—cite any relevant authority to support its conclusory assertion that the Commission can award sweeping reparations for general “deceptive conduct that affects competitors and the shipping public.” See Response at 9.

To the contrary, “the Commission has no authority to hear . . . claims alleging failure to maintain contractual obligations, breach of contract, fraud, deceptive trade practice, gross

⁷ Complainant's failure to plead such causes of action is indicative of its awareness that the Commission does not have jurisdiction to hear them.

negligence, and intentional misconduct.” *Dukart v. Ocean Star International Inc*, Docket No. 20-03, 2 F.M.C.2d 118 (ALJ July 10, 2020). Indeed, the Commission has explicitly stated:

[The] Commission does not exercise the authority of a court of law or of equity. We administer and enforce the requirements of the Shipping Act and related Acts. When pleadings come before us in which violations of the Act are heavily veiled in common law pleadings it becomes difficult to distill the activities alleged to be in violation of the Act from those which indicate the possible violations of some common law obligation.

Id. (citing *European Trade Specialists, Inc. v. Prudential-Grace Lines, Inc.*, 19 F.M.C. 148, 151 (FMC 1976)).

In the analogous context of determining jurisdiction over service contract disputes, the Commission has established a test for distinguishing between breach of service contract claims (common law claims over which it lacks jurisdiction) and Shipping Act claims (over which it has jurisdiction). In *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, 2000 WL 1648961 (F.M.C. Oct. 31, 2000), the Commission noted:

We find that as a general matter, allegations essentially comprising contract law claims should be dismissed unless the party alleging the violation successfully rebuts the presumption that the claim is no more than a simple contract breach claim. In contrast, whether the alleged violation raises issues beyond contractual obligations, the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is appropriately before the agency.

In applying that test, the Commission strips the complaint of its Shipping Act verbiage to examine the true nature of the claim. *See Western Overseas Trade and Development Corp. v. Asia North America Eastbound Rate Agreement*, 1994 WL 67702 * 13 (FMC 1994).

Here, what remains is a corporate ownership and fiduciary dispute. The alleged harms—diversion of funds, control of bank accounts, and access to internal platforms—flow from state-law claims, not statutory violations particular to the Shipping Act. Under *Cargo One* and its progeny, such claims fall outside the Commission’s jurisdiction and must be dismissed.



Ignoring that precedent, Complainant cites *Jarkesy v. SEC*, 34 F.4th 446, 453 (5th Cir. 2022), for the unremarkable proposition that “when Congress **properly assigns** a matter to adjudication in a non-Article III tribunal, the Seventh Amendment poses no independent bar to the adjudication of that action by a nonjury factfinder.” *See* Response at 12 (emphasis added). Congress, however, never assigned to the Commission the authority to adjudicate private-law claims of conversion, corporate mismanagement, tortious interference, or fraud. Congress knows how to speak, and if it wanted the Commission to adjudicate such claims it would have stated that clearly—not hidden in 46 U.S.C. § 40901(a), which merely prohibits one from operating without a license. *See In re Griffith*, 206 F.3d 1389, 1394 (11th Cir. 2000) (“[W]here Congress knows how to say something but chooses not to, its silence is controlling[.]”).

Further, even if Congress had intended to assign those common law claims to the Commission (again, it clearly didn't) such an assignment would not be “proper” and would violate Oak Way's constitutional right to a jury trial. **This in clear from the *Jarkesy* case that Ferraz cites.** In *Jarkesy* the Fifth Circuit found that (1) the Securities and Exchange Commission's adjudication of the fraud claims in that action violated the petitioner's right to a Seventh Amendment jury by trial; and (2) “Congress unconstitutionally delegated legislative power to the SEC when it gave the SEC the unfettered authority to choose whether to bring enforcement actions in Article III courts or within the agency.” *Jarkesy*, 34 F.4th at 449, 459. The U.S. Supreme Court went on to affirm the Fifth Circuit's *Jarkesy* decision, emphasizing the Seventh Amendment's requirement that claims sounding in common law be heard by a jury. *See SEC v. Jarkesy*, 603 U.S. 109, 120 (2024).

At bottom, Complainant's Response fails to rebut the authority that Oak Way cited in its Motion showing that proceeding on the Complaint would violate Oak Way's constitutional right

to a jury trial—and the Commission has a long history of refusing to adjudicate common law matters that fall without its jurisdiction. *See, e.g. PKDC, LLC v. CMA CGM S.A.*, Docket No. 24-21, 2024 FMC LEXIS 455, *11 (ALJ Dec. 20, 2024). This case should fare no different.

3. In the Alternative, the Commission Should Stay this Proceeding Until the Florida State Court Resolves the First Filed Related Action

Even if the Commission does not dismiss the Complaint outright, it should, at a minimum, stay this proceeding pending the resolution of the first-filed Florida actions. Complainant fails to meaningfully rebut the *Moses H. Cone Memorial Hospital* factors supporting the imposition of a stay in its Response.

First, there is no question that the Florida state court assumed jurisdiction before Complainant initiated these proceedings. Second, the relief Complainant seeks (apart from a cease-and-desist order) hinges on determinations already before the Florida state court, including the validity of the ownership transfer agreement, alleged breaches of contract, fiduciary obligations, and whether Ferraz has standing to bring this action. That Oak Way is not a party to the Florida litigation is irrelevant, as the very same individuals are at the center of both disputes. *See Watson v. Mayo* 2008, U.S. Dist. LEXIS 18444, at *10 (S.D.N.Y. Feb. 26, 2008) (“Although in its most common form the rule against splitting a cause of action applies when a plaintiff has sued the same defendant in two separate suits . . . the rule applies with equal force to different defendants when there is identity of interest with prior defendants and adequate representation.”) (internal citations omitted).

Third, the core issues in this dispute are matters of Florida state law. Nothing in the Complaint alleges a cognizable Shipping Act violation and proximately caused damages that would require this Commission’s specialized expertise. As such, the Florida courts can fully adjudicate the parties’ rights.



Further, the Complaint is, without a doubt, vexatious and reactive. As noted above, **Way2Go is no longer operating due to Mr. Ferraz's acts of mismanagement—which are at the center of the Florida actions.** Having run the company into the ground, Mr. Ferraz now seeks to weaponize this administrative forum as a tool of harassment, even though Way2Go has ceased operations.

At bottom, Ferraz is causing procedural chaos. In reaction to the Florida complaints filed by Santana and Alves, he filed a criminal proceeding in Brazil, the proceeding in front of the Commission, and a proceeding in the Southern District of Florida, which once again seeks duplicative relief under the guise of an “injunction.”⁸ Ferraz's strategic multiplication of the litigation related to his business dispute with Santana and Alves is not in good faith, risks inconstant rulings, and imposes an undue burden on the Commission, the Court, and the defendants. This is the very type of harm that a stay under the *Moses H. Cone* factors was designed to prevent.

CONCLUSION

For the good reasons discussed above, Oak Way respectfully requests that the Commission enter an Order: (1) dismissing all Counts of the Complaint with prejudice or, in the alternative, staying this proceeding until the Florida Actions are concluded; and (2) granting such other and further relief as the Commission deems just and proper.

Dated: September 16, 2025.

⁸ For example, it asks the Federal Court to enjoin Oak Way “from continuing to misappropriate Plaintiff's business opportunities [and] customer goodwill” and to order Oak Way to “provide Plaintiff with a full accounting of all revenue received in connection with services rendered Under Plaintiff's FMC License, including all deposits made to any bank account held in Defendant's name[.]”

Respectfully submitted,

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that a true and correct copy of the foregoing was filed via e mail upon the Office of the Secretary at secretary@fmc.gov and served upon all counsel of record for WAY2GO CARGO CORP. at sarah@epgdlaw.com and jennifer@epgdlaw.com on this 16th day of September, 2025.

By: /s/ Schneur Zalman Kass

SCHNEUR ZALMAN KASS



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